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Aluminum Corp. of China Ltd. | Asia Pacific

# 1H26 Post Result Call Key Takeaways

## Key Takeaways

- Cost control to maintain competitiveness. Management guided that manufacturing cost for aluminum and alumina was Rmb14,000/t and Rmb2,400/t in 1H26.
- Average power tariff remained largely stable in 1H26 at Rmb0.45/kWh.
- Total capex guided at Rmb15bn for 2026, while Rmb5bn was spent in 1H26. Funds required for potential M&A and overseas projects not included.
- Management sees new demand areas for aluminum and mentioned that compute centers would require 15kt aluminum and >20kt copper per 1GW.

**Chalco believes recent overproduction inspections in the industry has firmed government's view on a 45mnt capacity ceiling.** Management believes that the government is inspecting aluminum overproduction in some regions through monitoring power consumption and environmental protection figures. If power consumption has exceeded the designed quota, a penalty mechanism will apply, management said.

**ODI approval process tightened; Brazil Aluminum acquisition not impacted.** Management said that China's government had tightened control on overseas projects, with stricter approvals and restrictions on sending capital abroad, which may impact construction of overseas projects by Chinese players. Chalco noted that the acquisition of Brazil Aluminum is still under government review, but there was currently no impact from stricter ODI controls.

**Guinea alumina refinery plant aims to start production in early 2029.** The plant started construction in June this year, and it will be competitive with alumina produced in Australia. Meanwhile, Chalco continues to seek to increase its bauxite resources in Guinea and South America. Total bauxite production for the company is guided at 40-45mnt in 2026.

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| Aluminum Corp. of China Ltd. (2600.HK, 2600 HK) |                   |  |  |  |
|-------------------------------------------------|-------------------|--|--|--|
| Greater China Materials   China                 |                   |  |  |  |
| <b>Stock Rating</b>                             | <b>Overweight</b> |  |  |  |
| <b>Industry View</b>                            | <b>Attractive</b> |  |  |  |
| Price target                                    | HK\$11.20         |  |  |  |
| Up/downside to price target (%)                 | 32                |  |  |  |
| Shr price, close (Aug 27, 2026)                 | HK\$8.46          |  |  |  |
| Mkt cap, curr (mn)                              | Rmb156,116        |  |  |  |
| EV, curr (mn)                                   | Rmb220,721        |  |  |  |
| Avg daily trading value (mn)                    | HK\$610           |  |  |  |

| Fiscal Year Ending         | 12/25 | 12/26e | 12/27e | 12/28e |
|----------------------------|-------|--------|--------|--------|
| EPS (Rmb)**                | 0.74  | 1.27   | 0.73   | 0.91   |
| EPS (Rmb)\$                | 0.84  | 1.26   | 1.15   | 1.19   |
| Revenue, net (Rmb bn)      | 241.1 | 254.1  | 225.3  | 227.0  |
| EBITDA (Rmb bn)            | 41.1  | 62.4   | 40.3   | 47.5   |
| ModelWare net inc (Rmb bn) | 12.7  | 21.8   | 12.5   | 15.6   |
| P/E                        | 14.8  | 5.7    | 9.9    | 8.0    |
| P/BV                       | 2.5   | 1.4    | 1.3    | 1.2    |
| RNOA (%)                   | 16.6  | 27.6   | 14.7   | 18.1   |
| ROE (%)                    | 18.3  | 29.0   | 14.1   | 16.1   |
| EV/EBITDA                  | 6.5   | 3.4    | 5.1    | 4.2    |
| Div yld (%)                | 2.4   | 6.4    | 3.7    | 4.6    |
| FCF yld ratio (%)          | 8.9   | 11.7   | 9.1    | 8.5    |
| Leverage (EOP) (%)         | 39.1  | 8.6    | (9.6)  | (24.8) |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework  
\*\* = Based on consensus methodology  
\$ = Consensus data is provided by Refinitiv Estimates  
e = Morgan Stanley Research estimates

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## Valuation Methodology and Risks

### **Aluminum Corp. of China Ltd. (2600.HK)**

Base case, residual income model. Key assumptions: A cost of equity of 12.1% (as calculated from a 1.3 beta, 2.3% risk-free rate and 7.5% equity risk premium), a steady-state growth rate of 2% and long-term ROE of 11.0%.

#### **Risks to Upside**

- Demand is better than we expect.
- Supply cut is greater than we expect.

#### **Risks to Downside**

- Faster-than-expected production resumption.
- Faster commencement of new swapped capacity.
- Weaker-than-expected demand.

### **Aluminum Corp. of China Ltd. (601600.SS)**

We derive our A-share price target by applying a 10% premium to our H-share price target, and adjusting for our estimated CNYHKD exchange rate of 1.14.

#### **Risks to Upside**

- Demand is better than we expect.
- Supply cut is greater than we expect.

#### **Risks to Downside**

- Faster-than-expected production resumption.
- Faster commencement of new swapped capacities.
- Weaker-than-expected demand.

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| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1529              | 42%        | 442                              | 47%            | 29%                  | 750                                               | 43%                   |
| Equal-weight/Hold     | 1582              | 43%        | 396                              | 42%            | 25%                  | 773                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 1                                | 0%             | 33%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 560               | 15%        | 97                               | 10%            | 17%                  | 217                                               | 12%                   |
| Total                 | 3,674             |            | 936                              |                |                      | 1741                                              |                       |

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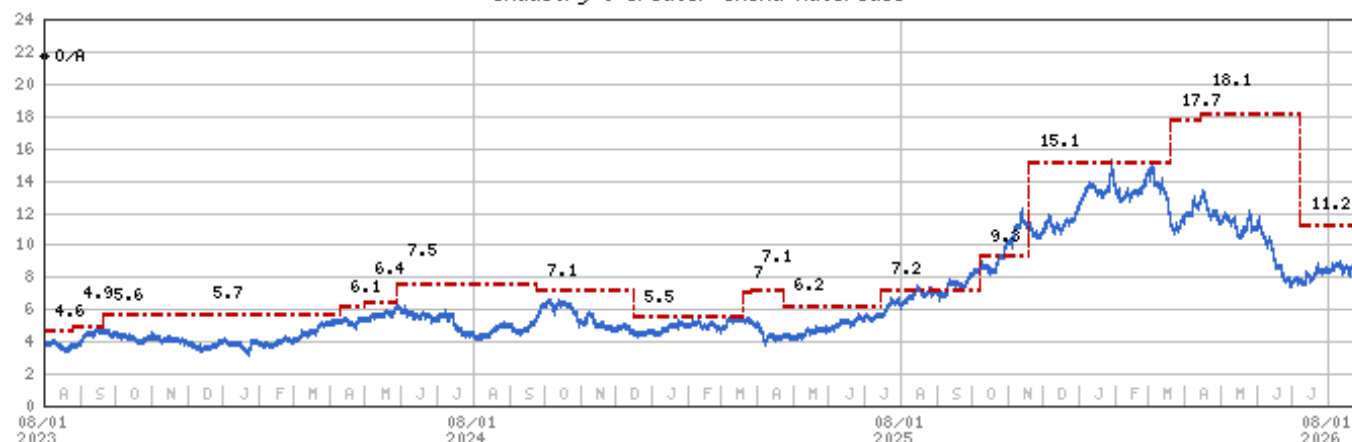
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## Stock Price, Price Target and Rating History (See Rating Definitions)

Aluminum Corp. of China Ltd. (2600.HK) - As of 08/28/26 GMT in HKD  
Industry : Greater China Materials



Stock Rating History: 8/1/21 : 0/A

Price Target History: 6/29/21 : 6; 9/30/21 : 8.1; 11/3/21 : 7.5; 12/9/21 : 6.6; 4/8/22 : 6; 7/13/22 : 4; 9/15/22 : 4.6; 4/25/23 : 6; 5/3/23 : 6.2; 6/26/23 : 4.6; 8/25/23 : 4.9; 9/21/23 : 5.6; 12/14/23 : 5.7; 4/9/24 : 6.1; 4/30/24 : 6.4; 5/28/24 : 7.5; 9/25/24 : 7.1; 12/16/24 : 5.5; 3/20/25 : 7; 3/27/25 : 7.1; 4/23/25 : 6.2; 7/15/25 : 7.2; 10/8/25 : 9.3; 11/19/25 : 15.1; 3/19/26 : 17.7; 4/14/26 : 18.1; 7/8/26 : 11.2

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

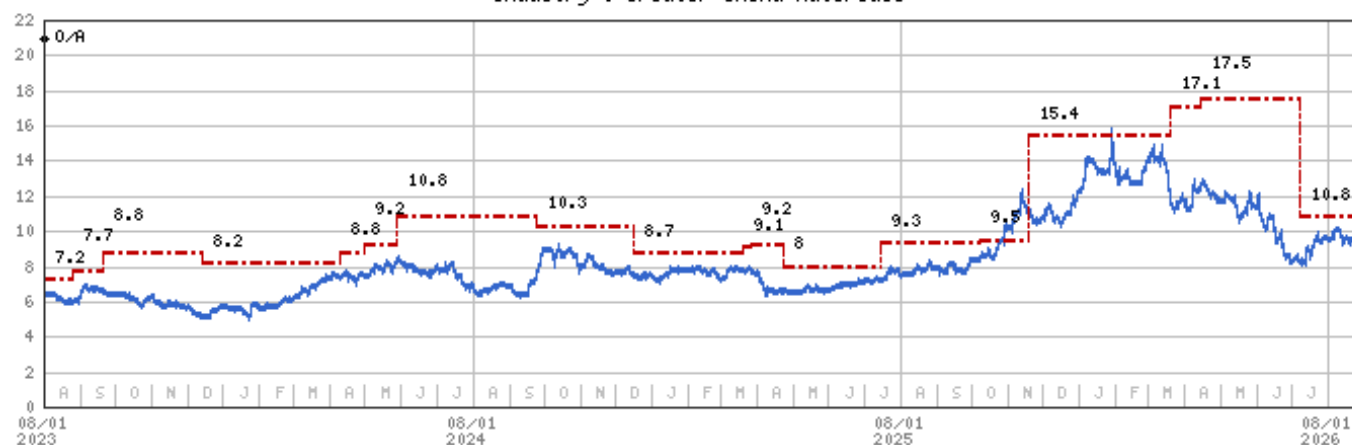
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Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Aluminum Corp. of China Ltd. (601600.SS) - As of 08/28/26 GMT in CNY  
Industry : Greater China Materials



Stock Rating History: 8/1/21 : 0/A

Price Target History: 6/29/21 : 6.1; 9/30/21 : 10.3; 11/3/21 : 9.6; 12/9/21 : 8.4; 4/8/22 : 7.6; 7/13/22 : 6.3; 9/15/22 : 7.2; 4/25/23 : 9.4; 5/3/23 : 9.7; 6/26/23 : 7.2; 8/25/23 : 7.7; 9/21/23 : 8.8; 12/14/23 : 8.2; 4/9/24 : 8.8; 4/30/24 : 9.2; 5/28/24 : 10.8; 9/25/24 : 10.3; 12/16/24 : 8.7; 3/20/25 : 9.1; 3/27/25 : 9.2; 4/23/25 : 8; 7/15/25 : 9.3; 10/8/25 : 9.5; 11/19/25 : 15.4; 3/19/26 : 17.1; 4/14/26 : 17.5; 7/8/26 : 10.8

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

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Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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## INDUSTRY COVERAGE: Greater China Materials

| COMPANY (TICKER) | RATING (AS OF) | PRICE* (08/27/2026) |
|------------------|----------------|---------------------|
|------------------|----------------|---------------------|

**Chris Jiang**

|                                                   |                |           |
|---------------------------------------------------|----------------|-----------|
| Anhui Honglu Steel Construction (002541.SZ)       | U (12/16/2025) | Rmb19.86  |
| CGN Mining Co Ltd (1164.HK)                       | O (01/18/2023) | HK\$3.06  |
| Chengxin Lithium Group Co. Ltd. (002240.SZ)       | E (12/16/2025) | Rmb32.02  |
| GEM Co Ltd (002340.SZ)                            | U (04/20/2026) | Rmb6.65   |
| Shenzhen Kedali Industry Co Ltd (002850.SZ)       | O (08/21/2023) | Rmb181.37 |
| Sinomine Resource Group Co Ltd (002738.SZ)        | O (12/16/2025) | Rmb51.67  |
| Yongxing Special Materials Technology (002756.SZ) | E (11/25/2022) | Rmb45.73  |
| Zhejiang Huayou Cobalt Co Ltd (603799.SS)         | O (10/08/2025) | Rmb40.18  |

**Hannah Yang, CFA**

|                                                    |                |           |
|----------------------------------------------------|----------------|-----------|
| China Hongqiao Group (1378.HK)                     | O (09/15/2023) | HK\$23.14 |
| Chuangxin Industries Holdings Ltd. (2788.HK)       | O (03/19/2026) | HK\$17.10 |
| Flat Glass Group Co Ltd (6865.HK)                  | O (07/30/2020) | HK\$6.91  |
| Flat Glass Group Co Ltd (601865.SS)                | O (07/30/2020) | Rmb9.94   |
| MMG Ltd (1208.HK)                                  | O (12/16/2024) | HK\$9.36  |
| Shandong Pharmaceutical Glass Co. Ltd. (600529.SS) | U (04/20/2026) | Rmb19.09  |
| Shenhuo Coal and Power (000933.SZ)                 | O (09/02/2025) | Rmb26.92  |
| Tianshan Aluminum (002532.SZ)                      | E (07/08/2026) | Rmb13.00  |
| Xinyi Glass Holding Limited (0868.HK)              | U (05/14/2024) | HK\$8.91  |
| Zhongfu Shenyang Carbon Fiber Co Ltd (688295.SS)   | O (08/25/2023) | Rmb39.30  |

**Rachel L Zhang**

|                                                      |                |            |
|------------------------------------------------------|----------------|------------|
| Aluminum Corp. of China Ltd. (601600.SS)             | O (11/30/2020) | Rmb9.65    |
| Aluminum Corp. of China Ltd. (2600.HK)               | O (11/30/2020) | HK\$8.46   |
| Baoshan Iron & Steel (600019.SS)                     | O (01/16/2016) | Rmb5.82    |
| Beijing New Building Materials (000786.SZ)           | O (04/09/2024) | Rmb17.68   |
| Beijing Oriental Yuhong Waterproof Techn (002271.SZ) | E (09/25/2024) | Rmb11.38   |
| China Jushi (600176.SS)                              | O (12/22/2020) | Rmb42.64   |
| China Lesso Group Holdings Ltd (2128.HK)             | U (10/08/2025) | HK\$4.04   |
| China Steel Corp. (2002.TW)                          | U (12/16/2025) | NT\$19.15  |
| CMOC Group Ltd (3993.HK)                             | O (09/24/2019) | HK\$17.53  |
| CMOC Group Ltd (603993.SS)                           | O (06/21/2024) | Rmb19.51   |
| CNGR Advanced Material Co., Ltd. (300919.SZ)         | E (01/12/2026) | Rmb40.66   |
| CNGR Advanced Material Co., Ltd. (2579.HK)           | O (01/12/2026) | HK\$26.04  |
| FangDa Carbon New Material Co. Ltd. (600516.SS)      | U (12/16/2024) | Rmb5.11    |
| Ganfeng Lithium Co. Ltd. (002460.SZ)                 | O (04/20/2026) | Rmb54.13   |
| Ganfeng Lithium Co. Ltd. (1772.HK)                   | O (12/16/2025) | HK\$40.86  |
| Henan Liliang Diamond Co. Ltd (301071.SZ)            | U (04/20/2026) | Rmb61.77   |
| Jiangsu Dingsheng New Materials (603876.SS)          | U (04/20/2026) | Rmb23.26   |
| Jiangxi Copper (0358.HK)                             | O (10/08/2025) | HK\$39.02  |
| Jiangxi Copper (600362.SS)                           | O (10/08/2025) | Rmb49.20   |
| JL Mag Rare-Earth Co. Ltd (6680.HK)                  | O (04/23/2025) | HK\$17.46  |
| JL Mag Rare-Earth Co. Ltd (300748.SZ)                | O (04/23/2025) | Rmb27.41   |
| Nine Dragons Paper (2689.HK)                         | E (01/04/2023) | HK\$7.00   |
| PT Merdeka Gold Resources Tbk (6228.HK)              | O (08/04/2026) | HK\$40.04  |
| Shandong Gold Mining Co. Ltd (600547.SS)             | E (07/09/2026) | Rmb34.89   |
| Shandong Gold Mining Co. Ltd (1787.HK)               | E (07/09/2026) | HK\$24.80  |
| Shandong Nanshan Aluminium Co. (600219.SS)           | E (07/08/2026) | Rmb4.83    |
| Tianqi Lithium Industries Inc. (9696.HK)             | O (12/16/2025) | HK\$36.96  |
| Tianqi Lithium Industries Inc. (002466.SZ)           | O (04/20/2026) | Rmb48.23   |
| Weixing New Building Materials (002372.SZ)           | U (10/08/2025) | Rmb8.58    |
| Zhaojin Mining Industry (1818.HK)                    | E (07/09/2026) | HK\$23.12  |
| Zijin Gold International (2259.HK)                   | O (11/06/2025) | HK\$155.90 |
| Zijin Mining Group (2899.HK)                         | O (11/06/2025) | HK\$37.66  |
| Zijin Mining Group (601899.SS)                       | O (11/06/2025) | Rmb34.57   |

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\* Historical prices are not split adjusted.

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